Reading 1.2 Who Buys the Ship: Real Cases

Nov 1, 2026 · @Batista · Extended reading, not for evaluation

Lecture 1.2 (slide 3) sorts the organizations that can buy a ship into five arrangements: an owner-operator, a time charter, a voyage charter, a bareboat charter and a sale and leaseback. This reading shows each one with a real, publicly reported deal, so you can see who signed what, who paid whom and who ended up owning and running the ship. It is extended reading: it is **not part of the Evaluation Test**.

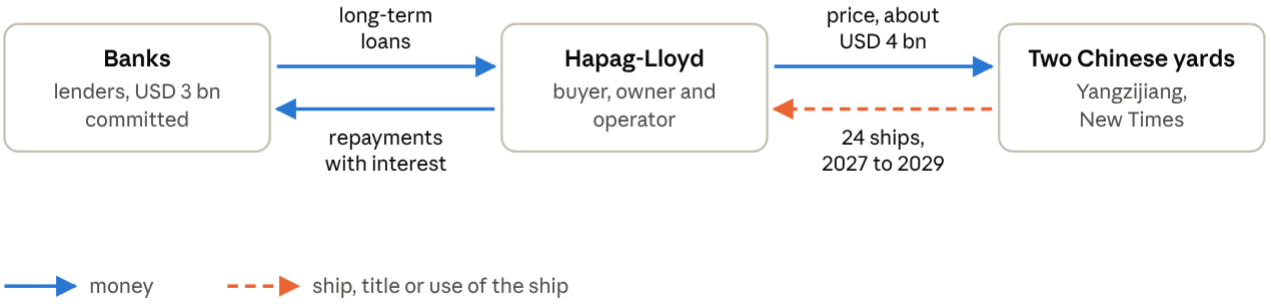
How to read the diagrams. Each box is a party; each arrow is something that changes hands. **Solid arrows** carry money (price, loans, hire, freight). **Dashed arrows** carry the ship itself, its title or the right to use it. The figures are the ones reported by the companies or the trade press on the date given; where a source does not give a number, the text says so.

Why a ship designer should care. The buyer signs the shipbuilding contract and writes the specification, so the arrangement decides whose requirements end up in the ship: the line that will run it, the tonnage provider that wants a ship many lines can charter, or the lessor that wants a ship it can resell.

1 · Owner-operator: Hapag-Lloyd orders 24 ships for its own services

On 6 November 2024 Hapag-Lloyd announced orders for 24 container ships with LNG dual-fuel engines, about 312,000 TEU in all: 12 ships of 16,800 TEU at Yangzijiang Shipbuilding, to add capacity, and 12 of 9,200 TEU at New Times Shipbuilding, to replace older ships. The investment is about USD 4 billion, with USD 3 billion of long-term financing already committed; deliveries run from 2027 to 2029. The lenders are not named.

Hapag-Lloyd buys, owns and runs its 24 new ships



Owner-operator · Hapag-Lloyd, 2024

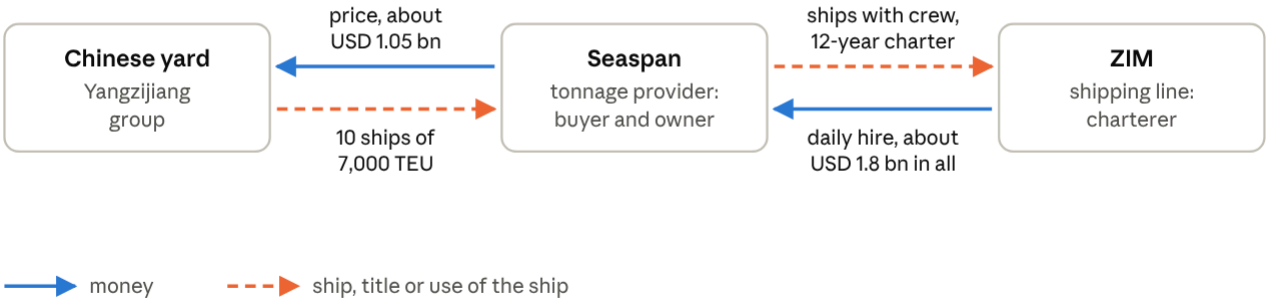
Here one company holds every role: Hapag-Lloyd signs the shipbuilding contracts, pays the yards with its own cash and bank loans, owns the ships and runs them on its own services. Because it is the user too, it writes the requirements around its own network: the two sizes, the fuel (LNG that can also burn biomethane) and readiness for ammonia later.

Source: Hapag-Lloyd press release, 6 November 2024.

2 · Time charter: Seaspan builds ten ships for ZIM

In July 2021 Seaspan, the largest container tonnage provider, ordered ten 7,000 TEU ships with LNG dual-fuel engines, for an aggregate price of about USD 1.05 billion, backed by 12-year time charters to the shipping line ZIM. Seaspan put the contracted income at about USD 1.8 billion over the charters (ZIM said more than USD 1.5 billion). The yard was not named in the order release; the first ship, ZIM Sapphire, was delivered by Jiangsu New Yangzi (Yangzijiang group) in June 2024. The daily hire was not reported.

Seaspan owns and crews the ships; ZIM charters them



Time charter of a newbuilding · Seaspan and ZIM, 2021

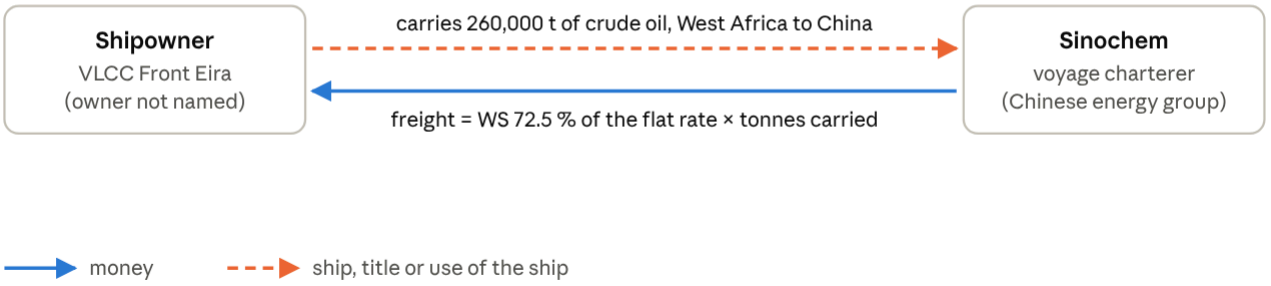
The order follows the charter: ZIM commits first, and Seaspan uses that contracted income to raise the finance and pay the yard. Seaspan is the buyer and owner and crews the ships; ZIM pays daily hire, decides where they sail and pays fuel and port costs. Because the charter is signed before the ship is built, the line in practice helps write the specification, but the ship stays a standard design that Seaspan could charter to another line after 12 years.

Sources: ZIM investor release, 6 July 2021; Seaspan release, via Hellenic Shipping News, 7 July 2021; LNG Prime, 18 June 2024.

3 · Voyage charter: Sinochem fixes a VLCC for one cargo

On 9 January 2024 S&P Global reported that Sinochem had fixed the very large crude carrier (VLCC) Front Eira to carry 260,000 tonnes of crude oil from West Africa to China, loading on 4 to 6 February, at Worldscale 72.5. It was the first VLCC west of Suez fixed on the new 2024 Worldscale rates. The report does not name the owner, nor the demurrage rate.

Sinochem pays freight for one voyage; the owner runs the ship



Voyage charter · VLCC Front Eira for Sinochem, 2024

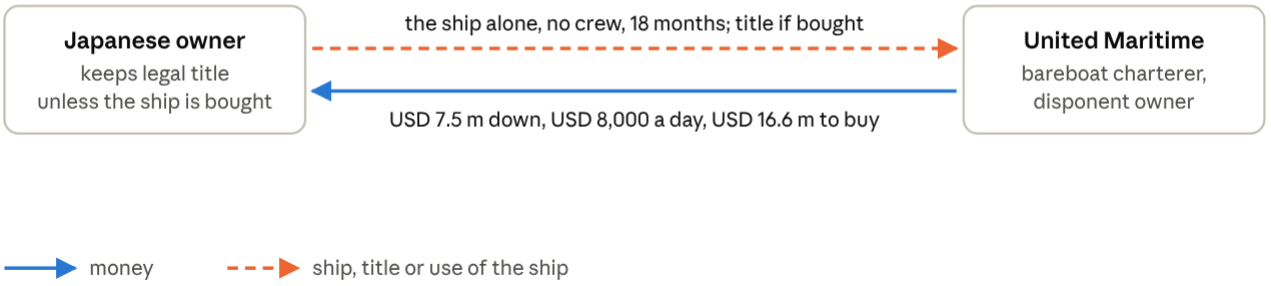
This is the tramp model of slide 3. The owner keeps the ship, the crew and the voyage costs (fuel, port dues, canal fees); the charterer only buys the transport of one cargo. Freight is quoted in **Worldscale**: a yearly table gives a flat rate in USD per tonne for every route, and the market quotes a percentage of it, so WS 72.5 means 72.5 % of the flat rate, multiplied by the tonnes carried. If loading or discharge takes longer than agreed, the charterer pays demurrage per day. Nothing in this deal reaches the shipyard: the ship already existed, built to the specification of its owner, who must design it to win many such charters over its life.

Source: S&P Global Commodity Insights, 9 January 2024.

4 · Bareboat charter: United Maritime takes a bulker bare, with an option to buy

On 21 February 2024 United Maritime, a Greek company listed in New York, agreed to bareboat-charter an 82,235 dwt kamsarmax bulk carrier, built in 2016 at Oshima in Japan and renamed Nisea, from an unnamed Japanese owner. The terms: 18 months at USD 8,000 a day, a USD 7.5 million down payment, and an option to buy the ship for USD 16.6 million at the end, about USD 28.5 million in all. Delivery was due between June and October 2024.

United Maritime runs the bulker as owner and may buy it



Bareboat charter · United Maritime, 2024

The Japanese owner keeps legal title, but United takes the whole ship: it crews, insures, maintains and trades it, as **disponent owner**. With the down payment and the purchase option the deal works like hire-purchase: United gets the ship at once and pays for it over time, and the title passes only if it pays the last instalment. A bareboat charter is also how lessors hand over the ships they finance (case 5).

Sources: Shipping Telegraph, 21 February 2024; Lloyd's List. A second example, without figures: in March 2023 the lessor Ocean Yield bareboat-chartered two anchor-handling offshore vessels to Viking Supply Ships for five years, with purchase options and an obligation to buy at the end (Ocean Yield).

5 · Sale and leaseback: CSSC Shipping finances an ammonia carrier

On 30 June 2026 CSSC (Hong Kong) Shipping, the leasing arm of the Chinese shipbuilding group CSSC, told the Hong Kong stock exchange that its company Fortune VLAC I would buy a 93,000 m³ very large ammonia carrier, still to be built, from Jal Pari of Singapore and lease it back to Jal Pari. The ship is valued at its building price of USD 119.5 million; the lessor pays USD 99,185,000 (about 83 %). Jal Pari charters it back bareboat for 120 months and pays about USD 141.7 million of hire in 120 instalments, of which about USD 42.0 million is interest, and **must buy the ship back** at the end, at a price agreed but not disclosed. Delivery is due by September 2027; the yard is not named.

CSSC Shipping finances by owning: Jal Pari sells, charters back, buys back



Sale and leaseback · CSSC Shipping and Jal Pari, 2026

Read it as a loan dressed as a sale: Jal Pari receives cash for most of the ship's price at the start, keeps the ship in service on a bareboat charter, repays principal plus interest through the hire, and gets the title back at the end. The lessor holds the title all the time as security. The specification is still Jal Pari's: it ordered the ship for its own trade before selling it.

A second example, with an ordinary charter on top: in July 2024 Performance Shipping financed a 114,000 dwt LR2 tanker newbuilding (contract price USD 63.25 million) by sale and leaseback with an unnamed Japanese leasing house: USD 44.25 million of finance, an 8-year bareboat charter at USD 7,132 a day, buy-back options from year 2 and a final payment of about USD 23.7 million. At the same time it fixed the ship on a 5-year time charter to Clearlake Shipping at USD 31,000 a day, so the hire it receives pays the hire it owes.

Sources: HKEX announcement, 30 June 2026; Baird Maritime, 1 July 2026; Performance Shipping, SEC filing, 16 July 2024.

Close to home: GS Lines on the Madeira and Azores lines

The same choices are made on the island lines of the project. GS Lines, the shipping line of Madeira's Grupo Sousa, has been moving from chartered to owned ships. In September 2022 it bought the 1,577 TEU container ship Marine Taraba (built 2008), renamed Ferdinanda S, for about €28 million, registered it in the Madeira international register and said the purchase increases its use of owned rather than chartered ships. In June 2024 it bought the 698 TEU Orion (2008), renamed Jaime S, for the mainland–Madeira line; that freed the Rebecca S to replace the chartered Insular on the Azores line, raising capacity per voyage from 320 to 420 TEU. These are second-hand purchases rather than newbuildings, but they show a line weighing the same question as slide 3: own the ship, or charter it from someone else.

Sources: DN Madeira, 20 September 2022; DN Madeira, 29 June 2024.

Questions to think about

1. In each case, who signed the shipbuilding contract, and whose requirements are therefore written into the ship?
2. Seaspan's ships will be chartered to another line after 12 years. How might that change what Seaspan asks of the designer, compared with Hapag-Lloyd ordering for its own network?
3. In case 5 the lessor owns the ship for ten years but never runs it. Why would a lessor still care about the specification?
4. For your Baseline ship in the project, which arrangement is the most likely, and what would it change in the owner's requirements?

All figures are as reported by the companies or the press on the dates given; deals and rankings change, so check a source before quoting a number.